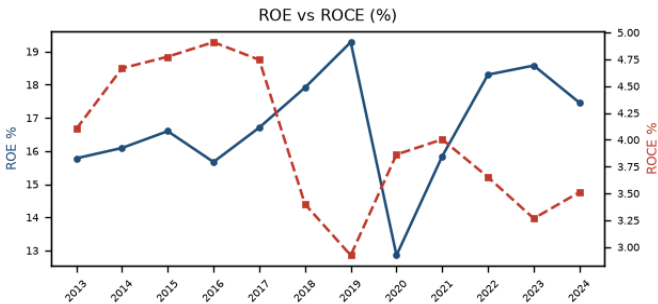
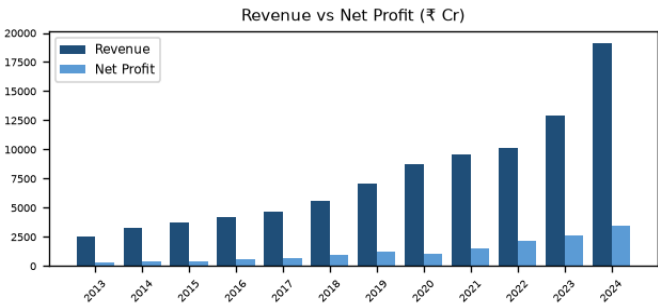


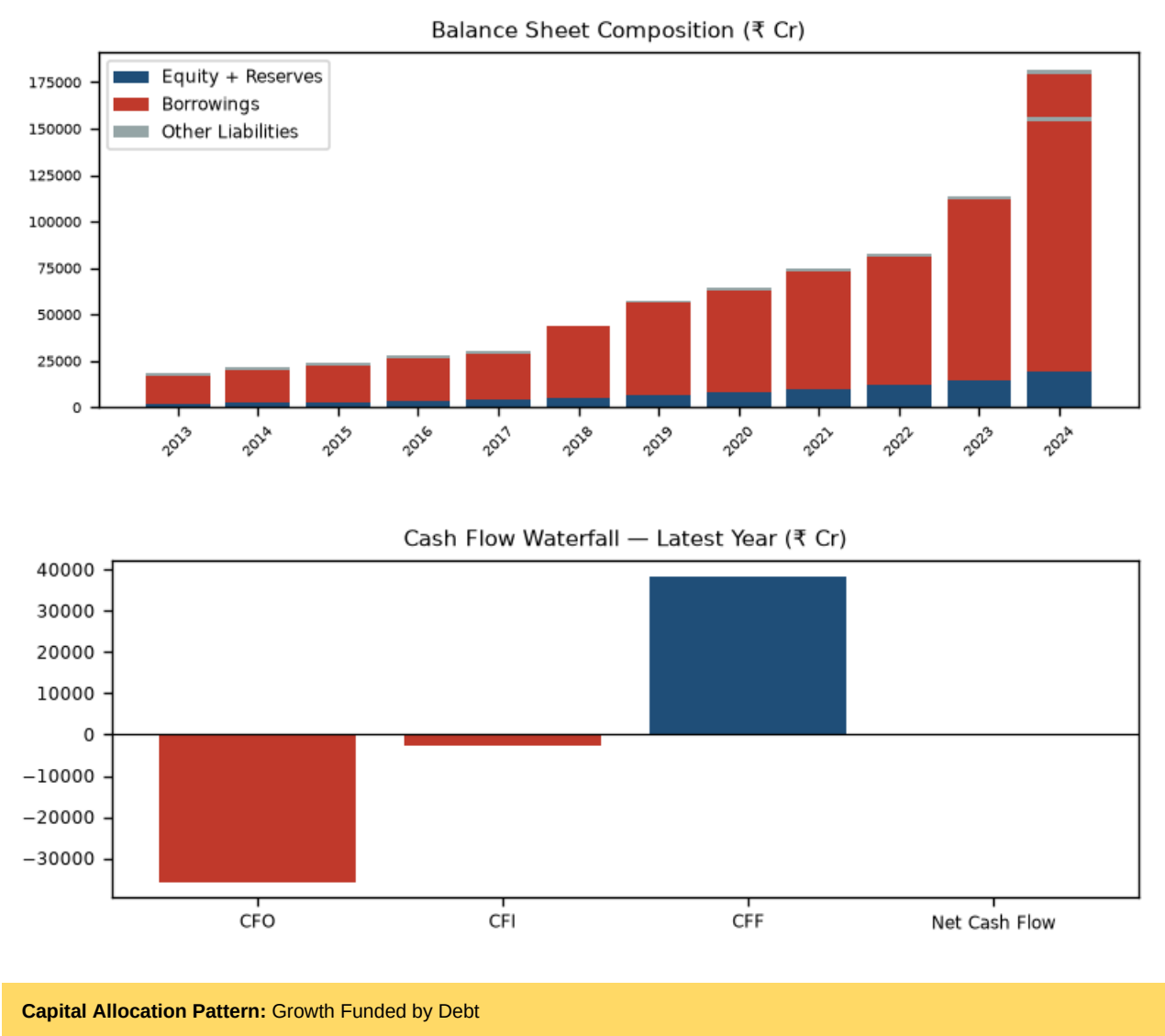
Cholamandalam Investment & Finance Company Ltd (CHOLAFIN)

Financials — Consumer Finance

ROE	ROCE	Net Profit Margin
17.5%	3.5%	17.8%
D/E	Revenue CAGR (5yr)	FCF (latest, Cr)
6.9x	21.9%	-38538



Cholamandalam Investment & Finance Company Ltd (CHOLAFIN) — Balance Sheet & Cash Flow



Pros

- ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (67% confidence)
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (62% confidence)
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value (62% confidence)
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (71% confidence)
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (64% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (61% confidence)

Cons

- ✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality (85% confidence)
- ✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure (70% confidence)
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (66% confidence)
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (80% confidence)